OPPENHEIMER

EQUITY RESEARCH

MODEL UPDATE

October 29, 2026

TECHNOLOGY/SOFTWARE APPLICATIONS

Stock Rating:

OUTPERFORM

12-18 mo. Price Target	$165.00
NOW - NYSE	$150.13

3-5 Yr. EPS Gr. Rate	30%
52-Wk Range	$192.97-$81.24
Shares Outstanding	1,043.0M
Float	1,031.0M
Market Capitalization	$155,234.4M
Avg. Daily Trading Volume	15,712,510
Dividend/Div Yield	NA/NM
Book Value	$12.65
Fiscal Year Ends	Dec
2026E ROE	31.0%
LT Debt	$7,524.0M
Preferred	NA
Common Equity	$13,096M
Convertible Available	Yes

Revenue ($/mil)	Q1	Q2	Q3	Q4	Year	Mult.
2025A	3.1B	3.2B	3.4B	3.6B	13.3B	12.0x
2026E	3.8BA	4.0BA	4.1BA	4.4B	16.2B	9.8x
2027E	4.5B	4.6B	4.9B	5.2B	19.3B	8.3x
Prior (E)	*4.5B*	*4.7B*	*5.0B*	*5.2B*	*19.3B*	—
2028E	5.2B	5.5B	5.9B	6.1B	22.7B	7.0x
Prior (E)	*5.2B*	*5.6B*	*5.9B*	*6.0B*	*22.7B*	—

EPS Non-GAAP	Q1	Q2	Q3	Q4	Year	Mult.
2025A	0.80	0.81	0.95	0.92	3.49	43.0x
2026E	0.97A	0.90A	1.00A	1.18	4.05	37.1x
2027E	1.16	1.15	1.32	1.44	5.08	29.6x
Prior (E)	*1.17*	*1.14*	*1.33*	*1.43*	—	—
2028E	1.37	1.44	1.60	1.69	6.10	24.6x
Prior (E)	*1.42*	—	—	*1.64*	—	—

ServiceNow Inc.

Model Update

SUMMARY

We are updating our NOW model to reflect management commentary on linearity throughout the year.

Brian Schwartz
415-399-5732
Brian.Schwartz@opco.com

Idan Gutkind
212-667-8136
Idan.Gutkind@opco.com

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For analyst certification and important disclosures, see the Disclosure Appendix.

Stock Price Performance



INVESTMENT THESIS

We view ServiceNow as a core holding as it is a unique enabler of digital transformation, enabling organizations to break down application silos to improve and automate business processes across functions (i.e., sales, HR, IT, etc.). The company's (1) technology differentiation; (2) roots in IT; (3) success in new product areas like AI; (4) product velocity; and (5) traction with global system integrators give us confidence in its ability to continue to take share in a large, underpenetrated $275B-plus total addressable market (TAM). Combined with strong and stable unit economics at scale, we believe the company can continue to compound revenue and FCF at industry-leading growth rates at scale.

BASE CASE ASSUMPTION

- Maintains high teens or better subscription revenue growth over the next couple of years
- Maintains a similar level of salesforce productivity
- Cash margins expands
- Consistent execution in quarterly reported results

CATALYSTS

- Management will be presenting at industry conferences over the next several months
- Faster adoption of the emerging products such as PRO +, customer service management, employee, creator, security, ITOM, and industries
- Higher annual contract value trajectory
- Consolidation activity in the software industry

UPSIDE SCENARIO

- Bookings growth reaccelerates
- Projects substantially higher profitability and cash flow margins
- Faster market share gains
- Strong ACV expansion within the customer base

DOWNSIDE SCENARIO

- Inconsistent execution in quarterly reported results
- Slowing macro spending on software technologies
- Salesforce productivity declines
- Growth decelerates to the mid-teens percentage

PRICE TARGET CALCULATION

NOW trades 24x our EV/FTM FCF estimate of $6.63B which is a premium to the current 20x large cap software universe average multiple. Our $165 price target reflects a 25x multiple but applied to our 2027 FCF estimate of $7.14B. We assume ServiceNow's can essentially sustain its cash multiple into the outer year as it delivers consistently good execution in the future reported results. On a P/E basis, NOW trades at 40x our $4.05. 2026 EPS estimate versus 24x for the large-cap software peer group. Our $165 PT assumes a 32x 2027 P/E multiple on our $5.08 estimate. We assume some compression into the outer year for NOW's P/E multiple for conservatism.

KEY RISKS TO PRICE TARGET

1) Execution risk; 2) competition; 3) a deterioration in unit economics; 4) macroeconomic fluctuations; and 5) large-scale M&A (a low probability, in our view).

COMPANY DESCRIPTION

ServiceNow is a software vendor of applications that are focused on defining, structuring, and automating the flow of work across the enterprise IT market.

ServiceNow	FY 2025A				FY 2026E				FY 2027E				FY 2028E				Fiscal Years			
Income Statement	Q1A	Q2A	Q3A	Q4A	Q1A	Q2A	Q3A	Q4E	Q1E	Q2E	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E	FY	FY	FY	FY
($ in thousands, except per share)	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28	2025A	2026E	2027E	2028E
Revenue																				
Subscription	3,005,000	3,113,000	3,299,000	3,466,000	3,671,000	3,877,000	3,988,000	4,250,183	4,331,780	4,497,320	4,785,600	5,057,717	5,024,865	5,351,811	5,647,008	5,917,529	12,883,000	15,786,183	18,672,417	21,941,213
Y/Y Change %	*19%*	*22%*	*22%*	*21%*	*22%*	*25%*	*21%*	*23%*	*18%*	*16%*	*20%*	*19%*	*16%*	*19%*	*18%*	*17%*	*21%*	*23%*	*18%*	*18%*
Q/Q Change %	*5%*	*4%*	*6%*	*5%*	*6%*	*6%*	*3%*	*7%*	*2%*	*4%*	*6%*	*6%*	*(1%)*	*7%*	*6%*	*5%*				
% of total revenue	*97%*	*97%*	*97%*	*97%*	*97%*	*97%*	*97%*	*98%*	*97%*	*97%*	*97%*	*97%*	*97%*	*96%*	*96%*	*97%*	*97%*	*97%*	*97%*	*97%*
Professional Services and Other	83,000	102,000	108,000	102,000	99,000	110,000	118,000	108,120	133,650	148,500	159,300	144,611	178,089	197,876	212,267	192,693	395,000	435,120	586,061	780,926
Y/Y Change %	*4%*	*20%*	*32%*	*12%*	*19%*	*8%*	*9%*	*6%*	*35%*	*35%*	*35%*	*34%*	*33%*	*33%*	*33%*	*33%*	*17%*	*10%*	*35%*	*33%*
Q/Q Change %	*(9%)*	*23%*	*6%*	*(6%)*	*(3%)*	*11%*	*7%*	*(8%)*	*24%*	*11%*	*7%*	*(9%)*	*23%*	*11%*	*7%*	*(9%)*				
Total Revenue	3,088,000	3,215,000	3,407,000	3,568,000	3,770,000	3,987,000	4,106,000	4,358,303	4,465,430	4,645,820	4,944,900	5,202,328	5,202,953	5,549,687	5,859,275	6,110,223	13,278,000	16,221,303	19,258,478	22,722,138
Y/Y Change %	*19%*	*22%*	*22%*	*21%*	*22%*	*24%*	*21%*	*22%*	*18%*	*17%*	*20%*	*19%*	*17%*	*19%*	*18%*	*17%*	*21%*	*22%*	*19%*	*18%*
Q/Q Change %	*4%*	*4%*	*6%*	*5%*	*6%*	*6%*	*3%*	*6%*	*2%*	*4%*	*6%*	*5%*	*0%*	*7%*	*6%*	*4%*				
PF Cost of Revenue																				
PF Subscription COGS	473,000	523,000	555,000	599,000	674,000	754,000	790,000	782,100	813,384	902,856	975,085	1,033,590	1,043,926	1,117,001	1,184,021	1,231,381	2,150,000	3,000,100	3,724,915	4,576,328
PF Subscription Margin	*84.3%*	*83.2%*	*83.2%*	*82.7%*	*81.6%*	*80.6%*	*80.2%*	*81.6%*	*81.2%*	*79.9%*	*79.6%*	*79.6%*	*79.2%*	*79.1%*	*79.0%*	*79.2%*	*83.3%*	*81.0%*	*80.1%*	*79.1%*
PF Professional Services and Other COGS	79,000	88,000	96,000	104,000	108,000	126,000	141,000	129,194	155,034	172,260	184,788	167,748	206,583	229,536	246,230	223,524	367,000	504,194	679,830	905,874
PF Professional Services Margin	*4.8%*	*13.7%*	*11.1%*	*(2.0%)*	*(9.1%)*	*(14.5%)*	*(19.5%)*	*(19.5%)*	*(16.0%)*	*(16.0%)*	*(16.0%)*	*(16.0%)*	*(16.0%)*	*(16.0%)*	*(16.0%)*	*(16.0%)*	*7.1%*	*(15.9%)*	*(16.0%)*	*(16.0%)*
Total PF Cost of Revenue	552,000	611,000	651,000	703,000	782,000	880,000	931,000	911,294	968,418	1,075,116	1,159,873	1,201,338	1,250,509	1,346,537	1,430,251	1,454,906	2,517,000	3,504,294	4,404,745	5,482,202
PF Gross Profit	2,536,000	2,604,000	2,756,000	2,865,000	2,988,000	3,107,000	3,175,000	3,447,008	3,497,012	3,570,704	3,785,027	4,000,990	3,952,445	4,203,150	4,429,025	4,655,317	10,761,000	12,717,008	14,853,733	17,239,936
PF Gross profit margin	*82.1%*	*81.0%*	*80.9%*	*80.3%*	*79.3%*	*77.9%*	*77.3%*	*79.1%*	*78.3%*	*76.9%*	*76.5%*	*76.9%*	*76.0%*	*75.7%*	*75.6%*	*76.2%*	*81.0%*	*78.4%*	*77.1%*	*75.9%*
PF Operating expenses																				
Sales and marketing	906,000	973,000	915,000	1,008,000	1,066,000	1,193,000	1,096,000	1,126,140	1,114,879	1,181,771	1,146,318	1,180,708	1,192,515	1,311,766	1,285,531	1,336,952	3,802,000	4,481,140	4,623,676	5,126,764
% of total revenue	*29%*	*30%*	*27%*	*28%*	*28%*	*30%*	*27%*	*26%*	*25%*	*25%*	*23%*	*23%*	*23%*	*24%*	*22%*	*22%*	*29%*	*28%*	*24%*	*23%*
Y/Y Change %	*15%*	*19%*	*14%*	*14%*	*18%*	*23%*	*20%*	*12%*	*5%*	*(1%)*	*5%*	*5%*	*7%*	*11%*	*12%*	*13%*	*16%*	*18%*	*3%*	*11%*
Research and development	518,000	538,000	547,000	566,000	587,000	632,000	674,000	707,700	728,931	750,799	773,323	796,523	828,383	861,519	895,980	931,819	2,169,000	2,600,700	3,049,575	3,517,701
% of total revenue	*17%*	*17%*	*16%*	*16%*	*16%*	*16%*	*16%*	*16%*	*16%*	*16%*	*16%*	*15%*	*16%*	*16%*	*15%*	*15%*	*16%*	*16%*	*16%*	*15%*
General and administrative	171,000	210,000	196,000	312,000	212,000	285,000	216,000	218,160	222,523	226,974	231,513	236,143	240,866	245,684	250,597	255,609	889,000	931,160	917,153	992,756
% of total revenue	*6%*	*7%*	*6%*	*9%*	*6%*	*7%*	*5%*	*5%*	*5%*	*5%*	*5%*	*5%*	*5%*	*4%*	*4%*	*4%*	*7%*	*6%*	*5%*	*4%*
Total PF operating expenses	1,583,000	1,649,000	1,616,000	1,764,000	1,789,000	1,934,000	1,837,000	2,052,000	2,066,333	2,159,544	2,151,154	2,213,374	2,261,765	2,418,969	2,432,108	2,524,380	6,612,000	7,612,000	8,590,405	9,637,221
Y/Y Change %	*14%*	*14%*	*12%*	*14%*	*13%*	*17%*	*14%*	*16%*	*16%*	*12%*	*17%*	*8%*	*9%*	*12%*	*13%*	*14%*	*14%*	*15%*	*13%*	*12%*
PF Operating income (loss)	953,000	955,000	1,140,000	1,101,000	1,199,000	1,173,000	1,338,000	1,395,008	1,430,679	1,411,160	1,633,873	1,787,616	1,690,680	1,784,181	1,996,917	2,130,937	4,149,000	5,105,008	6,263,328	7,602,715
PF Operating margin	*30.9%*	*29.7%*	*33.5%*	*30.9%*	*31.8%*	*29.4%*	*32.6%*	*32.0%*	*32.0%*	*30.4%*	*33.0%*	*34.4%*	*32.5%*	*32.1%*	*34.1%*	*34.9%*	*31.2%*	*31.5%*	*32.5%*	*33.5%*
GAAP Operating Expenses	1,986,000	2,133,000	2,061,000	2,291,000	2,327,000	2,656,000	2,510,000	2,705,938	2,663,628	2,779,080	2,798,736	2,892,976	2,904,816	3,098,321	3,143,324	3,262,506	8,471,000	10,198,938	11,134,420	12,408,968
GAAP Operating Income (loss)	451,000	358,000	572,000	443,000	503,000	162,000	385,000	454,272	550,548	504,178	691,269	806,456	743,758	785,137	951,078	1,044,665	1,824,000	1,504,272	2,552,451	3,524,638
GAAP Operating margin	*14.6%*	*11.1%*	*16.8%*	*12.4%*	*13.3%*	*4.1%*	*9.4%*	*10.4%*	*12.3%*	*10.9%*	*14.0%*	*15.5%*	*14.3%*	*14.1%*	*16.2%*	*17.1%*	*13.7%*	*9.3%*	*13.3%*	*15.5%*
Total other income (expense)	104,000	113,000	122,000	98,000	170,000	276,000	(15,000)	168,000	110,000	107,500	105,000	102,500	106,500	103,500	100,500	97,500	437,000	599,000	425,000	408,000
GAAP Pre-Tax Income (loss)	555,000	471,000	694,000	541,000	673,000	438,000	370,000	622,272	660,548	611,678	796,269	908,956	850,258	888,637	1,051,578	1,142,165	2,261,000	2,103,272	2,977,451	3,932,638
Income tax expense (benefit)	95,000	86,000	192,000	140,000	204,000	140,000	93,000	136,900	151,926	140,686	183,142	209,060	187,057	195,500	231,347	251,276	513,000	573,900	684,814	865,180
GAAP Net Income (loss)	460,000	385,000	502,000	401,000	469,000	298,000	277,000	485,372	508,622	470,992	613,127	699,896	663,201	693,137	820,231	890,889	1,748,000	1,529,372	2,292,637	3,067,457
GAAP EPS	$0.44	$0.37	$0.49	$0.38	$0.45	$0.29	$0.27	$0.46	$0.49	$0.45	$0.59	$0.68	$0.64	$0.67	$0.79	$0.86	$1.67	$1.47	$2.20	$2.96
PF Pre-tax income	1,057,000	1,063,000	1,240,000	1,200,000	1,282,000	1,176,000	1,316,000	1,563,008	1,540,679	1,518,660	1,738,873	1,890,116	1,797,180	1,887,681	2,097,417	2,228,437	4,560,000	5,337,008	6,688,328	8,010,715
PF Income tax expense	211,000	213,000	248,000	240,000	270,000	246,000	277,000	328,232	323,543	318,919	365,163	396,924	377,408	396,413	440,458	467,972	912,000	1,121,232	1,404,549	1,682,250
PF Net income (loss)	846,000	851,000	992,000	960,000	1,012,000	930,000	1,039,000	1,234,777	1,217,137	1,199,741	1,373,710	1,493,192	1,419,772	1,491,268	1,656,959	1,760,465	3,649,000	4,215,777	5,283,779	6,328,465
PF EPS	$0.80	$0.81	$0.95	$0.92	$0.97	$0.90	$1.00	$1.18	$1.16	$1.15	$1.32	$1.44	$1.37	$1.44	$1.60	$1.69	$3.49	$4.05	$5.08	$6.10
Basic shares outstanding ('000s)	1,035,000	1,035,000	1,040,000	1,039,000	1,035,000	1,031,000	1,035,000	1,040,175	1,041,389	1,042,603	1,043,817	1,045,030	1,046,250	1,047,469	1,048,689	1,049,909	1,037,250	1,035,294	1,043,210	1,048,079
Diluted shares outstanding ('000s)	1,045,000	1,045,000	1,050,000	1,047,000	1,040,000	1,034,000	1,043,000	1,050,301	1,046,100	1,041,915	1,037,748	1,033,597	1,035,147	1,036,700	1,038,255	1,039,812	1,046,750	1,041,825	1,039,840	1,037,479
Management Guidance																				
Subscription Revenue ($M)	2,995-3,000	3,030-3,035	3,260-3,265	3,420-3,430	3,650-3,655	3,815-3,820	3,975-3,980	4,245-4,255									12,835-12,845	15,780-15,790		
CRPO y/y growth	19.5%	19.5%	18.5%	23.0%	22.5%	19.0%	19.5%	18.5%												
Non-GAAP Operating Margin	30.0%	27.0%	30.5%	30.0%	31.5%	26.5%	31.0%	32.0%									31.0%	31.5%		
FCF ($M) or Margin																	34.0%	36.0%		

Source: Company reports and Oppenheimer & Co. Inc.

ServiceNow	FY 2025A				FY 2026E		
Balance Sheet	Q1A	Q2A	Q3A	Q4A	Q1A	Q2A	Q3A
($ in thousands, except per share)	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26
Current assets:							
Cash and Cash Equivalents	3,369,000	3,124,000	2,725,000	3,726,000	2,702,000	2,503,000	2,393,000
Short-term investments	3,228,000	3,008,000	2,686,000	2,558,000	2,480,000	2,161,000	2,214,000
Accounts Receivables	1,359,000	1,696,000	1,548,000	2,627,000	1,713,000	2,201,000	2,222,000
Other current assets	1,314,000	1,447,000	1,405,000	1,560,000	1,540,000	1,649,000	1,648,000
Total current assets	**9,270,000**	**9,275,000**	**8,364,000**	**10,471,000**	**8,435,000**	**8,514,000**	**8,477,000**
Long-term assets:							
Deferred Commissions less current portion	1,012,000	1,017,000	1,017,000	1,114,000	1,129,000	1,136,000	1,158,000
Long-term investments	4,335,000	4,655,000	4,266,000	3,771,000	2,724,000	2,043,000	2,354,000
Property Plant and Equipment	1,885,000	1,985,000	2,127,000	2,289,000	2,250,000	2,177,000	2,145,000
Other long-term assets	4,470,000	5,119,000	6,015,000	8,393,000	9,843,000	17,796,000	17,696,000
Total assets	**20,972,000**	**22,051,000**	**21,789,000**	**26,038,000**	**24,381,000**	**31,666,000**	**31,830,000**
Current Liabilities:							
Accounts payable	309,000	211,000	146,000	204,000	427,000	162,000	231,000
Accrued expenses and other current liabilities	1,109,000	1,378,000	1,267,000	1,813,000	1,408,000	1,738,000	1,760,000
Current portion of deferred revenue	6,737,000	6,802,000	6,347,000	8,314,000	8,030,000	8,057,000	7,600,000
Current portion of operating lease liabilities	103,000	104,000	107,000	112,000	118,000	114,000	118,000
Short-term debt, net						2,082,000	2,086,000
Total Current Liabilities:	**8,258,000**	**8,495,000**	**7,867,000**	**10,443,000**	**9,983,000**	**12,153,000**	**11,795,000**
Long-Term Liabilities							
Deferred revenue, less current portion	117,000	110,000	115,000	120,000	99,000	135,000	133,000
Operating lease liabilities, less current portion	806,000	815,000	804,000	800,000	822,000	822,000	773,000
Convertible Senior notes	1,490,000	1,490,000	1,491,000	1,491,000	1,491,000	5,435,000	5,438,000
Other long-term liabilities	162,000	209,000	211,000	220,000	258,000	605,000	595,000
Total Liabilities	**10,833,000**	**11,119,000**	**10,488,000**	**13,074,000**	**12,653,000**	**19,150,000**	**18,734,000**
Total stockholder's Equity	**10,139,000**	**10,932,000**	**11,301,000**	**12,964,000**	**11,728,000**	**12,516,000**	**13,096,000**
Total Liabilities and Stockholder Equity	**20,972,000**	**22,051,000**	**21,789,000**	**26,038,000**	**24,381,000**	**31,666,000**	**31,830,000**
Total Cash	6,597,000	6,132,000	5,411,000	6,284,000	5,182,000	4,664,000	4,607,000
Total Debt	1,490,000	1,490,000	1,491,000	1,491,000	1,491,000	7,517,000	7,524,000
Net Cash	**5,107,000**	**4,642,000**	**3,920,000**	**4,793,000**	**3,691,000**	**(2,853,000)**	**(2,917,000)**
Net Cash / Share	**$4.93**	**$4.49**	**$3.77**	**$4.61**	**$3.57**	**($2.77)**	**($2.82)**
Deferred Revenue & Billings Analysis							
Total Deferred Revenue	**6,854,000**	**6,912,000**	**6,462,000**	**8,434,000**	**8,129,000**	**8,192,000**	**7,733,000**
% of total deferred revenue as current	98%	98%	98%	99%	99%	98%	98%
Deferred Revenue Q/Q Change	(60,000)	58,000	(450,000)	1,972,000	(305,000)	63,000	(459,000)
Q/Q % Change	(1%)	1%	(7%)	31%	(4%)	1%	(6%)
Y/Y % Change	18%	21%	17%	22%	19%	19%	20%
Short-term deferred Y/Y % Change	18%	21%	16%	22%	19%	18%	20%
Long-term deferred Y/Y % Change	17%	29%	49%	26%	(15%)	23%	16%
Billings (Balance Sheet)	**3,028,000**	**3,273,000**	**2,957,000**	**5,540,000**	**3,465,000**	**4,050,000**	**3,647,000**
Q/Q % Change	(30%)	8%	(10%)	87%	(37%)	17%	(10%)
Y/Y % Change	19%	30%	12%	28%	14%	24%	23%
Subscription Billings	**2,945,000**	**3,171,000**	**2,849,000**	**5,438,000**	**3,366,000**	**3,940,000**	**3,529,000**
Q/Q % Change	(31%)	8%	(10%)	91%	(38%)	17%	(10%)
Y/Y % Change	20%	30%	12%	28%	14%	24%	24%

ServiceNow	FY 2025A				FY 2026E				FY 2027E				FY 2028E				Fiscal Years			
Cash Flow Statement	Q1A	Q2A	Q3A	Q4A	Q1A	Q2A	Q3A	Q4E	Q1E	Q2E	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E				
($ in thousands, except per share)	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28	2025A	2026E	2027E	2028E
Cash from Operations	**1,677,000**	**716,000**	**813,000**	**2,238,000**	**1,670,000**	**587,000**	**839,000**	**2,832,897**	**2,009,444**	**836,248**	**1,582,368**	**3,433,536**	**2,445,388**	**1,109,937**	**1,992,154**	**4,093,849**	**5,444,000**	**5,928,897**	**7,861,595**	**9,641,328**
Y/Y Change %	25.1%	15.5%	21.2%	36.9%	(0.4%)	(18.0%)	3.2%	26.6%	20.3%	42.5%	88.6%	21.2%	21.7%	32.7%	25.9%	19.2%	27.6%	8.9%	32.6%	22.6%
OCF as % of revenue	54.3%	22.3%	23.9%	62.7%	44.3%	14.7%	20.4%	***65.0%***	***45.0%***	***18.0%***	***32.0%***	***66.0%***	***47.0%***	***20.0%***	***34.0%***	***67.0%***	41.0%	36.6%	40.8%	42.4%
Cash conversion ratio	***176%***	***75%***	***71%***	***203%***	***139%***	***50%***	***63%***	***203%***	***140%***	***59%***	***97%***	***192%***	***145%***	***62%***	***100%***	***192%***	***131%***	***116%***	***126%***	***127%***
Cash from investing	**(217,000)**	**(423,000)**	**(551,000)**	**(498,000)**	**(451,000)**	**(6,654,000)**	**(838,000)**													
Cash from financing	**(398,000)**	**(546,000)**	**(657,000)**	**(739,000)**	**(2,236,000)**	**5,874,000**	**(114,000)**													
Free cash flow reconciliation																	**2025A**	**2026E**	**2027E**	**2028E**
Capital expenditures and other	**205,000**	**190,000**	**235,000**	**238,000**	**141,000**	**114,000**	**91,000**	**108,958**	**167,454**	**174,218**	**185,434**	**195,087**	**221,126**	**235,862**	**249,019**	**274,960**	**868,000**	**454,958**	**722,193**	**980,966**
Y/Y Change %	76.7%	(27.2%)	16.3%	(5.9%)	(31.2%)	(40.0%)	(61.3%)	(54.2%)	18.8%	52.8%	103.8%	79.0%	32.1%	35.4%	34.3%	40.9%	4.3%	(47.6%)	58.7%	35.8%
CapEx as % of revs	6.6%	5.9%	6.9%	6.7%	3.7%	2.9%	2.2%	***2.5%***	***3.8%***	***3.8%***	***3.8%***	***3.8%***	***4.3%***	***4.3%***	***4.3%***	***4.5%***	6.5%	2.8%	3.8%	4.3%
Free cash flow	**1,477,000**	**535,000**	**592,000**	**2,032,000**	**1,665,000**	**634,000**	**822,000**	**2,723,939**	**1,841,990**	**662,029**	**1,396,934**	**3,238,449**	**2,224,263**	**874,076**	**1,743,134**	**3,818,889**	**4,636,000**	**5,844,939**	**7,139,402**	**8,660,362**
FCF as % of revs	47.8%	16.6%	17.4%	57.0%	44.2%	15.9%	20.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	34.9%	36.0%	37.1%	38.1%
Y/Y Change %	20.6%	49.0%	25.7%	45.1%	12.7%	18.5%	38.9%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	34.2%	26.1%	22.1%	21.3%
FCF per Share	**$1.41**	**$0.51**	**$0.56**	**$1.94**	**$1.60**	**$0.61**	**$0.79**	**$2.59**	**$1.76**	**$0.64**	**$1.35**	**$3.13**	**$2.15**	**$0.84**	**$1.68**	**$3.67**	**$4.43**	**$5.60**	**$6.88**	**$8.34**
Y/Y Change %	20%	48%	25%	45%	13%	20%	40%	0%	0%	0%	0%	0%	0%	0%	0%	0%	34%	26%	23%	21%
Cash conversion ratio	***155%***	***56%***	***52%***	***185%***	***139%***	***54%***	***61%***	***0%***	***0%***	***0%***	***0%***	***0%***	***0%***	***0%***	***0%***	***0%***	***112%***	***114%***	***114%***	***114%***

Source: Company reports, and Oppenheimer & Co. Inc.

ESG CONSIDERATIONS *

ESG Rating	A-
ESG Rating Environment	B+
ESG Rating Social	A-
ESG Rating Governance	A-

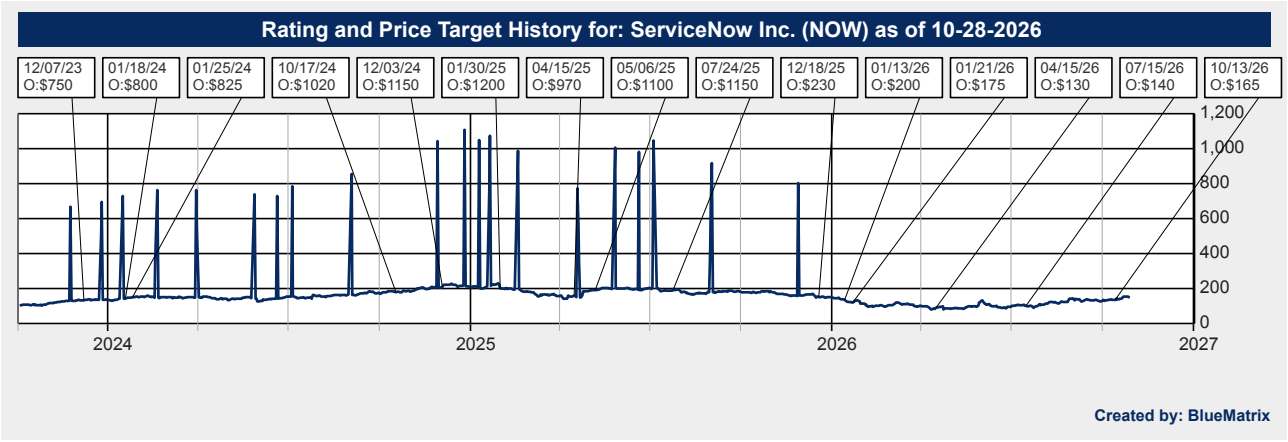
*Source: All Environmental/Social/Governance (ESG) scores are courtesy of Refinitiv's ESG product. If you have questions about an ESG score above, please contact your Oppenheimer analyst.

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			IB Serv/Past 12 Mos.	
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